BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

BENCH AT ALLAHABAD

ORIGINAL COMPANY JURISDICTION

In

COMPANY APPLICATION NO. 273/ALD/2020

(Under Section 230(1) read with Section 232(1) of the Companies Act, 2013)

In the matter of Companies Act, 2013

And

In the matter of Section 230(1) read with Section 232(1) and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

And

IN THE MATTER OF

Hobbits International Foods Private Limited,
having Corporate Identification Number as U15122UP2010PTC042893 and having its registered office situated at 13.2 Km Stone, Agra Shamsabad Road, Village Naufri, Post Shyamo, Agra, Uttar Pradesh - 283125

.....Applicant Company No. 1/ "Transferor Company 1"

And

Sunrise Sheetgrah Private Limited,
having Corporate Identification Number as U63090UP2011PTC045596 and having its registered office situated at 13.2 Km Stone, Agra Shamsabad Road, Village Naufri, Post Shyamo, Agra, Uttar Pradesh - 283125

.....Applicant Company No. 2/ "Transferor Company 2"

ORDER DELIVERED ON : 08.01.2021

CORAM:
Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

For the Applicant Companies: Mr.Rahul Agarwal, Advocate

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

ORDER

The instant joint application filed under Section 230(1) read with Section 232(1) of the Companies Act, 2013 by Applicant Company No. 1/ "Transferor Company 1" and Applicant Company No. 2/ "Transferor Company 2", collectively referred to as the Applicant Companies or Transferor Companies, namely:-

Sd/-

1. Hobbits International Foods Private Limited
2. Sunrise Sheetgrah Private Limited

1. The Applicant Companies are making joint application under Section 230(1) read with Section 232(1) of the Companies Act, 2013, read with the National Company Law Tribunal Rules, 2016 along with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 praying for sanctioning of the Scheme of Amalgamation of the Transferor Companies into ITC Limited (Transferee Company) on a going concern basis. The Scheme of Amalgamation is annexed as Annexure-1 to the application.

2. It is stated that Hobbits International Foods Private Limited (Applicant Company No. 1/ "Transferor Company 1") is a company incorporated on December 21, 2010 under the provisions of the Companies Act, 1956, having Corporate Identification Number as U15122UP2010PTC042893 and its registered office situated at 13.2 Km Stone, Agra Shamsabad Road, Village Naufri, Post Shyamo, Agra, Uttar Pradesh – 283125.

3. The main objects of the Applicant Co. No. 1/ "Transferor Company 1" are set out in its Memorandum of Association (Annexure-2 to the application). They are as under:-

To carry on business as manufacturers, importers, exporters, merchants, traders, distributors, suppliers, job-workers and agents of and dealers in (whether wholesale or retail) all types of spices (whole or powdered), Kirana Goods, Papad, and other edible articles of similar nature, pulses, roots, herbs, grams and nuts needed to manufacture or prepare for market such spices, Papad and other such edible articles, all types of seeds, oils, nuts, food grains, Dry Fruits, Soda, Sodabicarb, Gur, Khandsari, Sugar, Oilcake, Ghee, Caustic Soda, Cereals, Fruit Juices, Jams, Jelly Food Products whether Canned or tinned, fruit products and syrups and preservations of every kind.

4. The authorised, issued, subscribed and fully paid-up share capital of the Transferor Company 1 as on July 27, 2020 was as under:

Authorised Share Capital	**Amount (in Rs.)**
10,00,000 equity shares of Rs. 10/- each	1,00,00,000
Total	**1,00,00,000**
Issued, Subscribed and Fully Paid-up Share Capital	**Amount (in Rs.)**
3,30,000 equity shares of Rs. 10/- each	33,00,000
Total	**33,00,000**

5. Sunrise Sheetgrah Private Limited (Applicant Company No. 2/ "Transferor Company 2"), a company registered under the provisions of the Companies Act, 1956, was incorporated on July 5, 2011, having Corporate Identification Number as U63090UP2011PTC045596. The registered office

—Sd—

of the company is situated at 13.2 Km Stone, Agra Shamsabad Road, Village Naufri, Post Shyamo, Agra, Uttar Pradesh – 283125.

6. The main objects of the Applicant Co. No.2/ "Transferor Company 2" are set out in its Memorandum of Association (Annexure-5 to the application). They are as under:-

a. To install, acquire, purchase, take on lease and run, conduct and operate a cold storage warehouse, drystorage warehouse, bounded warehouse, air conditioning or any other plant to store and preserve frozen and other storable material and all kinds of perishable food stuff such as potatoes, fruits, seeds, fish, meat, poultry, dairy product, all kind of edible items, food processors and farm products on rent basis or otherwise and to run and maintain cold chain facility.
b. To install, acquire, purchase and run ice factory on lease or otherwise to manufacture, buy, sell, process, preserve, prepare and deal in ice creams, ice candy, ice cubes, chilling milk and other similar commodities and to buy, sell, store, exports or import or otherwise deal in fruits, fish, butter, milk, potatoes, seeds, storable product and all kind of food products and edible items whether vegetable or animal.

7. The authorised, issued, subscribed and fully paid-up share capital of the Transferor Company 2 as on July 27, 2020 was as under:

Authorised Share Capital	**Amount (in Rs.)**
10,00,000 equity shares of Rs. 10/- each	1,00,00,000
Total	**1,00,00,000**
Issued, Subscribed and paid up Share Capital	**Amount (in Rs.)**
5,57,350 equity shares of Rs. 10/- each	55,73,500
Total	**55,73,500**

8. With respect to Transferee Company, it is submitted that it is a company incorporated on August 24, 1910 under the provisions of the Indian Companies Act, 1882 as the Imperial Tobacco Company of India Limited. The name of the Transferee Company was changed to India Tobacco Company Limited on May 20, 1970. On March 30, 1974, the name of the Transferee Company was changed to I.T.C. Limited.

9. On September 18, 2001, the name of the Transferee Company was changed to its present one, ITC Limited. The Corporate Identification Number of the Transferee Company is L16005WB1910PLC001985. The Transferee Company has its registered office situated at Virginia House, 37, Jawaharlal Nehru Road, Kolkata – 700071 in the State of West Bengal. The Ordinary Shares of the Transferee Company are listed on the BSE Limited, National Stock Exchange of India Limited and the Calcutta Stock Exchange Limited ("Stock Exchanges"). The Global Depository Receipts of the Transferee Company are listed on the Luxembourg Stock Exchange.



10. The main objects of the Transferee Company are set out in its Memorandum of Association (Annexure-8 to the application). The main objects are, *inter alia*, as under:-

3(a) To carry on the business of cultivators of tobacco, manufacturers of and dealers in tobacco, cigars, cigarettes, snuff and other products composed wholly or in part of tobacco, snuff-grinders and merchants, box merchants and manufacturers of and dealers in boxes, covers, packages and other receptacles for holding tobacco, cigarettes or cigars, and any other articles and things used in the consumption of tobacco, or which are required by, or may be convenient to smokers, or are commonly dealt in by tobacconists.

3(a)(i) To carry on the business as hoteliers, hotel proprietors, hotel managers and operators, refreshment contractors and caterers, restaurant keepers, refreshment room proprietors, milk and snack bar proprietors, café and tavern proprietors, loading house proprietors, ice-cream merchants, sweetmeat merchants, milk manufacturers and merchants, bakers, confectioners professional merchants, licensed victuallers, wine and spirit merchants, blenders and bottlers including the business of buying, selling, owning, operating and maintaining, taking on or giving out on lease or licence, of hotels and resorts of all kinds, including sports resorts, fun parks, restaurants, holiday resorts, rest-houses, entertainment, recreational and amusement centres, health farms and spas, farm houses, town houses, service apartments, health clubs, golf courses and villas, swimming pools and water sport facilities, beach resorts, shopping malls and plazas, convention centres, exhibition venues, business centres and conveniences of all kinds and descriptions.

3(a)(ii) To carry on the business of tourist and travel agents, transport agents and contractors to arrange and operate tours and to facilitate travelling and provide for tourist and travellers, and of freight and passage brokers and representatives of airlines, steamship lines, railways and other carriers whether in India or abroad including the business of manufacturers, importers, exporters, dealers and traders, whether as wholesalers, retailers or distributors, in leather, rubber and cloth goods of all kinds, whether sports gear apparels, travel accessories, personal accessories, sports accessories, fashion garments, boots, gloves, hosiery and to carry on the business of retailing by setting up of retail outlets, departmental stores, super stores, super markets, boutiques, shopping malls and plazas and other outlets of all kinds and descriptions.

3(a)(iii) To buy, sell, deal, barter, import, whether as wholesalers or retailers or as principals or agents or brokers or otherwise, goods, stores, commodities or products as covered by these clauses and connected therewith and generally to export.

3(a)(iv) To manufacture, process, prepare, preserve, can, refine, bottle, buy, sell and deal whether as wholesalers or retailers or as exporters or importers or as principals or agents, in foods, meats, eggs, poultry, vegetables, canned and tinned and processed foods, protein, health and instant foods of all kinds including baby and dietetic foods, cereals, beverages, cordials, tonics, restoratives and aerated mineral waters and food-stuff and consumable provisions of every description for human or animal consumption.

3(a)(viii) To carry on the business of printers, lithographers, stereotypers, electrotypers, photographic printers, art printers, photolithographers, chromolithographers, engravers, embossers, die-sinkers, die-stampers, envelope manufacturers, machine rulers, numerical printers, stationery, paper makers, paper bags and cardboard manufacturers.

3(a)(x) To carry on the business of manufacturers of and dealers in paper, pulp and boards of all kinds, and articles made from paper, pulp and boards of every description, and materials used in the manufacture or treatment of paper and board, including cardboards.

3(a)(xi) To carry on the business of manufacturers of and dealers in containers, boxes, packings, packages, wrappings, wrappers and receptacles of all kinds made from paper and boards, including cardboards and plywoods, plastic, plastic materials, metals, alloy glass, veneers and other materials of all kinds, whether

—Sd—

synthetic or not, for trade and industry of every description.

3(a)(xiv) To carry on the business in all its branches of oil seeds and other seeds, edible oil, industrial oil, plant food, forestry plantation and sale of bio-technology.

3(a)(xvii) To carry on the business in all its branches of manufacturers, buyers, sellers, importers, exporters, traders and dealers of all kinds of Industrial Machinery including machinery for manufacture and processing of tobacco and cigarettes and packaging thereof, packaging and printing machinery and machinery for crushing and processing seeds of all kinds, machinery for solvent extraction and refining of edible and non-edible oils of every description.

3(a)(xx) To carry on the business in all its branches of manufacturers, producers, processors, buyers, sellers, importers, exporters, traders and dealers of convenience foods and processed foods of all kinds and every description.

3(a)(xxi) To manufacture, process, refine, buy, sell, deal, barter, import or export, whether as wholesalers or retailers or as principals or agents or brokers or otherwise, all kinds of personal care products, hair, skin, nail, eye and other beauty products, cosmetic products, cleansing compounds, baby care products, health care products, oral care products, shaving products, bath products, sanitary products, personal wash products, fabric wash products, laundry materials, home and industrial cleansing products, home care products etc., including but not limited to toiletries, perfumes, deodorants, pomades, powders, essences, lotions, creams, bleaches, conditioners, ointments, glycerine, oil, gel, hair dyes, shampoo, soaps, detergents, toothpastes, toothpowders, toothbrushes, dentifrice, and such other products and substances whether herbal, medicated, antiseptic or not, ingredients, by-products or accessories thereof and other materials required for the process, manufacture and use of the aforesaid products.

3(o) To amalgamate with any other company having objects altogether or in part similar to those of this Company.

11. The authorized, issued, subscribed and fully paid-up share capital of the Transferee Company as on July 27, 2020 was as under:

Authorized Share Capital	**Amount (in Rs.)**
20,00,00,00,000 ordinary shares of Re. 1/- each	2,00,00,00,00,000
Total	**2,00,00,00,00,000**
Issued, Subscribed and paid up Share Capital	**Amount (in Rs.)**
12,29,57,61,831 ordinary shares of Re. 1/- each fully paid up	12,29,57,61,831
Total	**12,29,57,61,831**

12. The counsel for the Applicant Companies submitted that the circumstances which necessitated the Scheme of Amalgamation are:

(i) In view, *inter alia*, of the portfolio fit and potential of the business of Sunrise Foods Private Limited (SFPL), the present Holding Company of the Transferor Companies, the Transferee Company decided to acquire Sunrise Foods Private Limited and purchased the entire (100%) Equity Shares of

—Sd—

Sunrise Foods Private Limited on 27th July, 2020 in an all-cash deal. Pursuant to such acquisition of shares of Sunrise Foods Private Limited, the Transferor Companies became step down subsidiaries of the Transferee Company.

(ii)The Transferor Companies provide support to the business activities of Sunrise Foods Private Limited, which is engaged in the business of manufacturing and marketing of spices and other food products, *inter alia*, under the 'Sunrise' brand.

(iii) The activities of the Transferor Companies are ancillary and incidental to the main business operations of Sunrise Foods Private Limited. Further, the Transferor Companies have also provided their land in Agra to Sunrise Foods Private Limited on which one of the factories of Sunrise Foods Private Limited is located. Considering the above, the resources available with the Transferor Companies can be pooled together and efficiently utilised for the benefit of the Transferee Company on a larger scale.

13. The counsel for the Applicant Companies further submitted that the amalgamation of the Transferor Companies into the Transferee Company on a going concern basis, pursuant to Section 230, Section 232 and other applicable provisions of the Companies Act, 2013, would, inter-alia, have the following benefits:

a. Rationalising multiple entities to ensure optimised legal entity structure more aligned with the business by reducing the number of legal entities and re-organising the structure.

b. Simplification of business structure by amalgamation of wholly owned subsidiaries.

c. Reducing duplication of administrative responsibilities and multiplicity of records and legal and regulatory compliances.

d. Reduction of overheads and other expenses facilitating administrative convenience and ensure optimum utilisation of available services and resources.

e. Improving and consolidating internal controls and functional integration at various levels of the organisation such as information technology, human resources, finance, legal and general management leading to an efficient organisation capable of responding swiftly to volatile and rapidly changing market scenarios.

f. As such the amalgamation will result in the consolidated spices business in the Transferee Company being pursued and developed more effectively and advantageously and enable greater realisation of the potential thereof. The amalgamation will have beneficial results for all the Companies and their stakeholders.

14. The counsel refereed to clause 11 of Part B of the Scheme of Amalgamation, which provides for cancellation of the existing shares:-

11.1 A separate scheme of amalgamation of SFPL with the Transferee Company has been filed before the Kolkata Bench of the National Company Law Tribunal. Since the Transferor Companies are wholly owned subsidiaries of SFPL, upon the said scheme of amalgamation of SFPL with the Transferee Company being approved

—Sd—

said scheme of amalgamation of SFPL with the Transferee Company being approved by the Kolkata Bench of the National Company Law Tribunal and the certified copy of the order of Kolkata Bench of the National Company Law Tribunal being filed with the Registrar of Companies, West Bengal, by the Transferee Company and SFPL, the Transferor Companies will become wholly owned subsidiaries of the Transferee Company. Consequently, upon this Scheme being effective, in lieu of transfer of and vesting of the Undertaking of the Transferor Companies in the Transferee Company in terms of the Scheme, all the equity shares of the Transferor Companies held by the Transferee Company and its nominees shall stand cancelled and extinguished without any further act or deed.

11.2 Such cancellation of equity shares held by the Transferee Company shall be deemed to be the consideration paid by the Transferee Company under the Scheme and no shares shall be allotted, nor any payment shall be made by the Transferee Company.

15. The counsel during his submissions also highlighted few of the salient features of the Scheme of Amalgamation such as:-

a. The Scheme of Amalgamation shall be effective from the Appointed Date, i.e. 27th day of July, 2020.

b. With effect from the Appointed Date, the entire Undertaking of the Transferor Companies, including all assets, properties, rights and powers as well as all debts, liabilities, duties and obligations of the Transferor Companies shall be transferred to the Transferee Companies, as a going concern, in the manner and subject to the modalities for transfer and vesting detailed in the Scheme of Amalgamation.

c. Such transfer and vesting of the Undertaking of the Transferor Companies shall be subject to all charges, liens, encumbrances, obligations, mortgages, if any, then affecting the same or any part thereof, provided always that the Scheme of Amalgamation shall not operate to enlarge the scope of security for any loan, deposit or facility created by or available to the Transferor Companies which shall vest in the Transferee Company by virtue of the amalgamation and the Transferee Company shall not be obliged to create any further or additional security after coming into effect of the Scheme of Amalgamation or otherwise, except in case where the required security has not been created, and in such case if the terms thereof require, the Transferee Company will create security in terms of the issue or arrangement in relation thereto.

d. All proceedings pending by or against the Transferor Companies on the Effective Date and all contracts, obligations, actions, rights and claims by or against the Transferor Companies, will be transferred to the Transferee Company and will be enforceable by or against the Transferee Company.

e. With effect from the Appointed Date and up to and including the Effective Date, the Transferor Companies shall carry on business with reasonable diligence and, except in the ordinary course of business, the Transferor Companies shall not, without the prior written consent of the Transferee

—Sd—

Company or pursuant to any pre-existing obligation, sell, transfer, or otherwise alienate, charge, mortgage, encumber or otherwise deal with, or dispose of any of the assets of the Transferor Companies or any part thereof.

f. The Transferee Company shall be entitled, pending the sanction of the Scheme of Amalgamation, to apply to any Government Authority, if required, under any law for such consents and approvals which the Transferee Company may require to carry on the business of the Transferor Companies.

g. Pursuant to the Scheme of Amalgamation coming into effect, the Transferor Companies shall stand dissolved without being wound up.

h. Upon the Scheme of Amalgamation becoming effective and with effect from the Appointed Date, the Transferee Company shall account for amalgamation of the Transferor Companies into the Transferee Company as per Indian Accounting Standard 103 on Business Combinations prescribed under Section 133 of the Companies Act, 2013 read with the Companies (Indian Accounting Standards) Rules, 2015.

i. Upon the coming into effect of this Scheme of Amalgamation, all employees of the Transferor Companies as on the Effective Date, shall become the employees of the Transferee Company on terms and conditions no less favourable than those on which they are engaged by the Transferor Companies and without any interruption of or break in service as a result of the amalgamation of the Transferor Companies with the Transferee Company.

j. The coming into effect of Scheme of Amalgamation is conditional upon and subject to:

(1) the Scheme of Amalgamation being approved by the requisite majority of the shareholders and such other classes of persons as may be directed by the Tribunal pursuant to Sections 230 and 232 of the Companies Act, 2013;
(2) the Tribunal having accorded its sanction to the Scheme of Amalgamation;
(3) such other approvals and sanctions including sanction of any Governmental Authority, if any, as may be required by Law in respect of the Scheme of Amalgamation being obtained; and
(4) the proposed scheme of amalgamation of Sunrise Foods Private Limited (parent company of the Transferor Companies) with the Transferee Company being sanctioned by the Tribunal, Kolkata Bench and coming into effect in terms thereof.

16. It is also submitted that the Scheme of Amalgamation is not intended, in any manner, to have any beneficial effect on the material interest, if any, of the Directors of any of the Transferor Companies, except to the extent of

Sd

their shareholdings, if any. Further, the Scheme of Amalgamation will not adversely affect the rights or interest of any creditor (whether secured or unsecured) of the Transferor Companies or their respective shareholders, in any manner whatsoever. The Scheme of Amalgamation does not involve any compromise with the creditors of any of the Transferor Companies in any manner whatsoever. As such, the Scheme of Amalgamation does not in any manner adversely affect the interests of any of the creditors of the Transferor Companies. The Statutory Auditors of the Transferor Companies have not disclosed any mismanagement in their affairs.

17. It is also stated that the Applicant Companies as well as Transferee Company have duly complied with the Accounting Standards. Certificates from the Statutory Auditors of the Applicant Companies as well as Transferee Company regarding the accounting treatment under the Scheme of Amalgamation being in compliance with the Accounting Standards are enclosed as Annexure- 16 to Annexure-18 to the application.

18. The counsel made reference to Regulation 37(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the Securities and Exchange Board of India Circular dated March 10, 2017, as amended by Securities and Exchange Board of India Circular dated January 3, 2018, which states that the requirement of taking approval of Stock Exchanges to the Schemes of Amalgamation in case of wholly owned subsidiaries has been dispensed with and the listed holding companies are only required to file the Scheme of Amalgamation with the Stock Exchanges for the purpose of disclosure. The Transferee Company herein as the listed holding company of the Transferor Companies was thus not required to take the approval of the Stock Exchanges to the Scheme of Amalgamation in terms of the regulatory requirements.

19. The Transferee Company vide its letter dated September 30, 2020 forwarded the Scheme of Amalgamation to the Stock Exchanges which is enclosed as Annexure-12 to the application.

20. The Scheme of Amalgamation has been approved by the respective Board of Directors of the Applicant Company Nos. 1 and 2 by passing resolutions which are annexed from Annexure 13 and 14 to the application respectively. The Scheme of Amalgamation has also been approved by the Board of Directors of the Transferee Company which is Annexure-15 to the application.

21. The counsel for the Applicant Companies further submitted that Applicant Company No. 1/ "Transferor Company 1" has 7 Equity Shareholders and all of them (representing 100% of voting rights) have given their consent to the proposed Scheme of Amalgamation in writing.

—Sd—

22. The Applicant Companies have annexed certificate from Messrs. Malhotra Rajesh and Co., Chartered Accountants, dated November 20, 2020 certifying the list of Equity Shareholders of Applicant Company No. 1/ "Transferor Company 1" which is enclosed as Annexure-19 to the application. Further, the consent affidavits (along with board resolution) of the Equity Shareholders of the Applicant Company No. 1/ "Transferor Company 1" are enclosed collectively as Annexure-20 to the application.
23. As on November 13, 2020, the Applicant Company No. 1/ "Transferor Company 1" had just one Unsecured Creditor which has consented for the Scheme of Amalgamation by way of affidavit. Annexure 21 to the application contains the the list of Unsecured Creditor of the Applicant Company No. 1/ "Transferor Company 1" as on November 13, 2020 along with certificate from Messrs. Malhotra Rajesh and Co., Chartered Accountants, dated November, 20, 2020 certifying that there is only one class of creditors and the affidavit of sole Unsecured Creditor.
24. It is prayed that Tribunal may be pleased to dispense with convening and holding of the meeting of the Equity Shareholders and Unsecured Creditor of the Applicant Company No. 1/ "Transferor Company 1", to consider the Scheme of Amalgamation.
25. With respect to Applicant Company No. 2/ "Transferor Company 2", it is submitted that it has 7 Equity Shareholders and all of them (representing 100% of voting rights) have given their consent to the proposed Scheme of Amalgamation in writing. Certificate from Messrs. Malhotra Rajesh and Co., Chartered Accountants, dated November 20, 2020 certifying the list of Equity Shareholders of Applicant Company No. 2/ "Transferor Company 2" has been annexed as Annexure-22 to the application. Consent affidavits (along with board resolution) of the Equity Shareholders of the Applicant Company No. 2/ "Transferor Company 2" are annexed collectively as Annexure-23 to the application.
26. That Applicant Company No. 2/ "Transferor Company 2" had just one Unsecured Creditor on November 13, 2020. The sole Unsecured Creditor has consented to the Scheme of Amalgamation by way of affidavit. The list of Unsecured Creditor of the Applicant Company No. 2/ "Transferor Company 2" as on November 13, 2020 along with the certificate from Messrs. Malhotra Rajesh and Co., Chartered Accountants dated November 20, 2020 certifying that there is only one class of creditors as well as the affidavit of sole Unsecured Creditor is annexed as Annexure-24 to the application.
27. Prayer has been made to dispense with convening and holding of the meeting of the Equity Shareholders and Unsecured Creditor of the

-Sd-

Applicant Company No. 2/ "Transferor Company 2", to consider the Scheme of Amalgamation.

28. With regard to Transferee Company, it is submitted that the Transferor Companies would become wholly owned (100%) subsidiaries of the Transferee Company itself pursuant to the scheme of amalgamation of Sunrise Foods Private Limited with the Transferee Company being given effect to and no shares whatsoever are to be issued by the Transferee Company in terms of the said scheme. Thus, it was submitted that no application or proceedings for sanction of the Scheme of Amalgamation under Section 230 and Section 232 of the Companies Act, 2013 or any other provisions are required to be taken by the Transferee Company. The counsel prayed for the dispensation of filing of application and petition by the Transferee Company under Sections 230 and 232 of the Companies Act, 2013 in relation to the Scheme of Amalgamation as it is not required.
29. Heard the arguments of the Learned Counsel for the Applicant Companies and perused the documents annexed to the application.
30. From the perusal of the certificates of the Chartered Accountant as well as consent affidavits, this Tribunal is satisfied that all the Equity Shareholders and the Unsecured Creditor of the Transferor/ Applicant Companies have consented for the Scheme of Amalgamation and thus convening and holding of the meeting of the Equity Shareholders as well as Unsecured Creditor of the Applicant Cos. No. 1 and 2 are dispensed with.
31. Moreover, as Applicant Company No. 1/ "Transferor Company 1" and Applicant Company No. 2/ "Transferor Company 2" are wholly owned subsidiaries of SFPL and a petition has been filed before the Kolkata Bench of the National Company Law Tribunal for amalgamation of SFPL with the Transferee Company, the Transferor Companies would become wholly owned (100%) subsidiaries of the Transferee Company itself pursuant to the scheme of amalgamation of SFPL with the Transferee Company being given effect to and no shares whatsoever are to be issued by the Transferee Company in terms of the said scheme. There is no compromise or arrangement whatsoever between the Transferee Company and its shareholders or creditors or any other classes of persons within the meaning of Sections 230 and 232 of the Companies Act, 2013. The Scheme of Amalgamation does not involve any reorganization or restructuring of the capital of the Transferee Company. There will be no change in control and management of the Transferee Company. The aggregate assets of the Transferor Companies and the Transferee Company are also more than sufficient to meet all their liabilities. The rights of the shareholders and creditors of the Transferee Company are thus not affected in any manner whatsoever by the Scheme of Amalgamation.

—Sd—

32. Accordingly, this Tribunal is of the view that there is no requirement for the Transferee Company to file separate application or petition under Sections 230 and 232 of the Companies Act, 2013 in relation to the sanctioning of the Scheme of Amalgamation.

33. In view of the facts stated above, the following orders are passed:-

i. Since all the Equity Shareholders of the Applicant Company No. 1/ "Transferor Company 1" and Applicant Company No. 2/ "Transferor Company 2" representing 100% of shareholding have given consent in the form of affidavit to the proposed Scheme of Amalgamation, the convening and holding of meetings of the Equity Shareholders of the Applicant Company No. 1/ "Transferor Company 1" and Applicant Company No. 2/ "Transferor Company 2" is dispensed with.

ii. Further, since there is no Secured Creditor in Applicant Company No. 1/ "Transferor Company 1" and Applicant Company No. 2/ "Transferor Company 2", there is no requirement of convening and holding of meetings of the secured creditors of these Companies.

iii. As the only Unsecured Creditor in Applicant Company No. 1/ "Transferor Company 1" and Applicant Company No. 2/ "Transferor Company 2" hasconsented in the form of affidavit to the proposed Scheme of Amalgamation, the convening and holding of meeting of the Unsecured Creditor of Applicant Company No. 1/ "Transferor Company 1" and Applicant Company No. 2/ "Transferor Company 2" is dispensed with.

iv. The Transferee Company is not required to file any application or petition for sanction of the Scheme of Amalgamation under Section 230(1) read with Section 232(1) of the Companies Act, 2013;

v. The Applicant Companies shall individually and in compliance with sub-section (5) of Section 230 of the Companies Act, 2013 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 send notices in Form No. CAA. 3 along with copy of the Scheme of Amalgamation, Explanatory Statement and the disclosures mentioned in Rule 6 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 to: (1) Central Government (through the Regional Director), (2) the Registrar of Companies, (3) the Official Liquidator (4) the Income-Tax Authorities and other Statutory Authorities pursuant to Section 230(5) of the Companies Act, 2013, as may be applicable. The said notices shall be sent either by registered post or by speed post or by courier or by hand delivery at the offices of the aforesaid authorities as required by sub rule (2) of Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The aforesaid authorities which desire to make any representation under sub-

-Sd-

section (5) of Section 230 of the Companies Act, 2013 shall send the same to this Tribunal within a period of 30 (Thirty) days from the date of receipt of such notice with an advance copy of such representation being sent simultaneously to the concerned Applicant Company at its registered office, failing which it shall be deemed that they have no representation to make on the proposed Scheme of Amalgamation.

In view of the above mentioned directions the Company Application bearing No. 273/ALD/2020 is accordingly allowed and disposed off.

—Sd—

JUSTICE RAJESH DAYAL KHARE
MEMBER (J)

Date: 08.01.2021

Swati Gupta
(LRA)